

Republic of the Philippines
CITY OF DAVAO
Office of the City Council
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November 7, 1973



The Honorable City Mayor
City of Davao

S i r :

In pursuance of Paragraph 2, Section 15, of Republic Act No. 4354, otherwise known as the Revised Charter of the City of Davao, I have the honor to forward herewith Resolution No. 995 and Ordinance No. 707, current series, of the City Council of Davao, for appropriate action.

Very truly yours,

Conrado A. Stuart
CONRADO A. ESTUART

Assistant Secretary of the Council
on Legal and Legislative Matters

Encls. :

As stated.

01/04

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By: *Adoracion*
OFFICE OF THE MAYOR - CITY OF DAVAO
November 8, 1973

Respectfully returned to the Honorable City Council, City of Davao, approved.

By direction of the Mayor:

Raymundo P. Belino, Jr.
RAYMOND P. BELINO, JR.
Acting City Secretary

5th City Council of Davao
78th Regular Session
Series of 1973

Republic of the Philippines
CITY OF DAVAO
Office of the City Council
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ORDINANCE NO. 707

AN ORDINANCE CREATING THE DAVAO CITY WATER DISTRICT PURSUANT TO THE PROVISIONS OF PRESIDENTIAL DECREE NO. 198, OTHERWISE KNOWN AS THE "PROVINCIAL UTILITIES ACT OF 1973" AND PROVIDING FOR THE GOVERNMENT AND ADMINISTRATION OF SUCH DISTRICT AND FOR OTHER PURPOSES."

Be it Ordained by the City Council, City of Davao, that:

SECTION 1. - There is hereby created and formed the Davao City Water District.

SECTION 2. - The Davao City Water District shall be composed of the territory of the City of Davao as fixed in Sec. 2, Article I, of Republic Act 4354, otherwise known as "The Revised Charter of the City of Davao".

SECTION 3. - The Davao City Water District is formed for the purposes of:

- a) Acquiring, installing, improving, maintaining and operating water supply and distribution systems for domestic, industrial, municipal and agricultural uses for residents and lands within the boundaries of said district;
- b) Providing, maintaining and operating wastewater collection, treatment and disposal facilities;
- and
- c) Conducting such other functions and operations incidental to water resource development, utilization and disposal within such districts, as are necessary or incidental to said purpose.

SECTION 4. - All rights, interest of the City of Davao to the existing water and/or sewerage facilities particularly the Davao Metropolitan Waterworks System including its personnel are hereby transferred to the Davao City Water District pursuant to

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Ordinance No. 707, series of 1973, continued:

Sec. 31(b) of Presidential Decree No. 198, provided that in lieu of the taxes on the said Davao City Water District, the latter should pay to the City of Davao an annual amount of three percent (3%) of its gross receipts from water sales every year.

SECTION 9. - There shall be a Board of Directors of the Davao City Water District to be composed of five (5) Filipino citizens who are of voting age and are residents of Davao City pursuant to the provisions of Sections 8, 9, 10 and 11 of Presidential Decree No. 198 and shall possess the qualifications provided therein; provided, however, that in no case shall a Director be an elective official of the government. In case of vacancies in the positions of Board of Directors, the provision of Sec. 12 of Presidential Decree No. 198 shall govern.

The following are the initial members of the Board of Directors:

- a) Mr. Adolfo Angua, representing business, commercial or financial institutions whose term shall expire on December 31, 1974;
- b) Rev. Fr. Ben Benidieto, S. J., representing educational and religious institution, whose term shall expire on December 31, 1974;
- c) Engr. Vicente C. Garcia, representing professional organizations, whose term shall expire on December 31, 1976;
- d) Atty. Eugenia M. Geli, representing women's organization, whose term shall expire on December 31, 1976;
- e) Dr. Alex Pammalianan, representing Civic-oriented clubs, whose term shall expire on December 31, 1978.

Ordinance No. 707, series of 1973, continued:

SECTION 6. - The Navas City Water District shall only be dissolved on the grounds and under the conditions set forth in Sec. 44 of Presidential Decree No. 198, i. e., by a resolution of the Board of Directors filed in the manner of filing a resolution forming the district, provided, however, to the adoption of any such resolution:

a) Another public entity has acquired the assets of the district and has assumed all obligations and liabilities attached thereto;

b) All bondholders have been notified and they consent to said transfer and dissolution;

and

c) A court of competent jurisdiction has found that said transfer and dissolution are in the best interest of the public.

SECTION 7. - The Navas City Water District shall have the following powers, rights and obligations as provided for in Section 36 of Presidential Decree No. 198, i. e., to borrow money to raise funds to pay all costs of any public improvements authorized by Title II of Presidential Decree No. 198 and may issue revenue bonds to evidence the indebtedness created by such borrowing. Such revenue bonds shall constitute special obligations and evidence of special indebtedness of the district and shall be a charge upon, and payable, as to the principal thereof, any part thereof, solely from such revenues and funds as are specified therein in the proceedings for their issuance. Said bonds may be issued pursuant to the following procedures:

a) Estimates of Expenses. - If a revenue bond issue is contemplated, the board of the district shall adopt by resolution a plan describing the works to be

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Ordinance No. 107, version of 1973, continued:

acquired or constructed together with an estimate of all costs thereof, including payment of interest on any bonds of the district, which will become payable on acquisition of such works, for which the general funds of the district then in the treasury are inadequate.

b) Issuance in the District Name: Limitation of Obligations. - Revenue bonds shall be issued in the name of the district, and shall be obligations of the district; limited, however, to the payment or redemption of the revenue bonds and the payment of interest thereon from the revenue of the district.

c) Call, Price and Redemption. - The Board, by resolution authorizing the issuance of revenue bonds, shall fix the method of giving notice of redemption. Such bonds shall be issued subject to call and redemption prior to maturity and a statement to that effect shall appear on the face of the revenue bonds. No such bond shall be subject to call or redemption prior to its fixed maturity date unless it contains such recital.

d) Form of Bonds. - The face of revenue bonds shall contain a statement that: (1) the payment or redemption of the bond and payment of interest thereon is secured solely by a first and direct charge and lien upon all of the revenues received from the sale of water, (2) neither the payment of all or any part of the principal or interest thereon is a general debt, liability or obligation of the district, and (3) the bond is subject to call and redemption prior to maturity, if the board so provides. Each issue of revenue bonds shall be numbered

Continued on Page 5:

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Ordinance No. 707, series of 1973, continued:

consecutively from lower to higher as they mature and shall bear such date as may be prescribed by the board. The date appearing the date of issuance irrespective of subsequent delivery of the bond. Each bond shall be signed by the chairman and attested by the secretary: Provided, that interest coupons appertaining thereto may be signed by the secretary only. The seal of the district shall be affixed to each revenue bond.

e) Payment of Maturity. - Revenue bonds shall be paid in cash and in full at such time and place as may be designated by the board and shown on the face of each bond, but in no case shall the maturity of any bond be more than 40 years from its date.

f) Default. - In the event of default by the district in the payment of principal or interest on its outstanding revenue bonds, any bondholder shall have the power to bring an action in any court of competent jurisdiction to compel the payment of said amount, and in connection therewith, to require the appointment of a receiver of the property and operations of the district and to assume full jurisdiction over its affairs including the power to increase rates, if necessary, until such time as the default is cured.

SECTION 8. - The Bayne City Water District shall exercise all other powers as are conferred to it by the provisions of Presidential Decree No. 198.

SECTION 9. - Each Director of the Bayne City Water District shall receive a compensation in an amount for each meeting of the Board actually attended by him equivalent to one percent of the

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Ordinance No. 707, series of 1973, continued:

Mayor's monthly salary; provided, however, that no director shall receive other compensation for services to the district;

SECTION 10. - The City of Davao shall subsidize the Davao City Water District the sum of TWENTY THOUSAND (P20,000.00) PESOS monthly for a period of twenty-four (24) months, effective November 1, 1973, for its operation and maintenance including the payment of the salaries and/or wages, life, retirement premiums, medicare, leave credits and retirement benefits of the personnel of the Davao Metropolitan Waterworks System who are thereto transferred.

SECTION 11. - The sum of ONE HUNDRED SIXTY THOUSAND (P160,000.00) PESOS, is hereby appropriated out of:

- a) The unexpended balance as of October 29, 1973, in the re-enacted Budget and Plantilla of the Davao Metropolitan Waterworks System for the current fiscal year, in the amount of P126,269.32 by reversion; and
- b) The estimated income of the City Government for the current fiscal year in the amount of P33,730.68.

the same to be reappropriated and made available as subsidy to the Davao City Water District for its operation and maintenance including the payment of the salaries and/or wages, life, retirement premiums, medicare, leave credits and retirement benefits of the personnel of the Davao Metropolitan Waterworks System who are transferred to the said Davao City Water District covering the period from November 1, 1973 to June 30, 1974;

SECTION 12. - This Ordinance shall take effect upon approval.

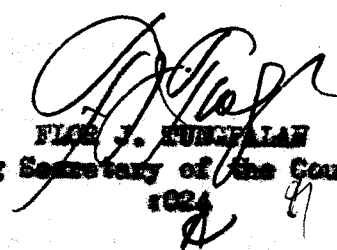
ENACTED: October 26, 1973.

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Ordinance No. 707, series of 1973, continued:


BENIGNO TANADO
President Pro Tempore
Acting Presiding Officer

ATTESTED:


ELMER J. HUCPHALAN
Acting Secretary of the Council
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APPROVED: Nov. 1, 1973

(sgd.) **LUIS T. SANTOS**
Mayor, City of Manila

ATTESTED:

(sgd.) **RANON B. BELLENO, JR.**
Acting City Secretary

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